

independent tort; it is the tort of negligence to which the traditional elements of duty, breach of duty, causation, and damages apply.” (*Ess v. Eskaton Properties* (2002) 97 Cal.App.4th 120, 126.) Recovery for negligent infliction of emotional distress is typically permitted in two situations - referred to as “bystander” and “direct victim” claims. (*Id.* at 126-127.) “Recovery may be permitted in bystander case where the plaintiff is closely related to the victim of a physical injury, is present at the scene of the injury-causing event and is then aware that it is causing injury, and suffers emotional distress beyond that which would be anticipated in a disinterested witness.” (*Id.* at 127.) “Direct victim cases involve the breach of a duty owed to the plaintiff that was assumed by the defendant, imposed on the defendant as a matter of law, or arose out of a preexisting relationship between the two.” (*Id.*) To recover under a claim of negligent infliction of emotional distress where there is no personal physical injury, the plaintiff must suffer from serious emotional distress. (*Wong v. Jing* (2010) 189 Cal.App.4th 1354, 1377-1378.)

In *Marlene F.*, the court found that a direct victim claim could be brought because the therapist saw both the parents and the children and he undertook a duty to treat both the mothers and children, which he knew or should have known that his molestation of the children would directly injure and cause severe emotional distress to his other patients, the mothers. (*Marlene F.*, *supra*, 48 Cal.3d at 591.) “It bears repeating that the mothers here were the patients of the therapist along with their sons, and the therapist’s tortious conduct was accordingly directed against both. They sought treatment for their children – as they had the right, and perhaps even obligation, to do – and agreed to be treated themselves to further the purposes of the therapy. They were plainly entitled to recover for the emotional distress they suffered. (*Id.* at 591.) In this matter, there are no allegations in the Complaint or in Plaintiffs’ declarations that they directly observed any of the bullying or isolation to Jadore. As such, bystander liability is not a basis of liability. Plaintiffs also do not clearly allege such a basis of liability. Due to this, these arguments fail. Since the first, second, third, fifth, sixth, eighth, and ninth causes of action contain allegations of injuries that pertain to the children and Plaintiffs would like the ability to have the children pursue these claims, judgment on the pleading to these causes of action is sustained with leave to amend to add the children.

2.

CASE #	CASE NAME	HEARING NAME
CVME2506036	RESENDEZ VS IDEA LAW GROUP	DEMURRER ON 2ND AMENDED COMPLAINT FOR OTHER REAL PROPERTY BY IDEA LAW GROUP, PC IDEA LAW GROUP AND BY NEWREZ, LLC, BANK OF NEW YORK MELLON

Tentative Ruling: Demurrer by both Defendants sustained without leave to amend.

This is a foreclosure matter. On June 3, 2025 Plaintiff Gregory F. Resendez (“Plaintiff”) filed this action. He alleges that on February 10, 2006, Plaintiff recorded a grant deed for property located at 29093 Overboard Drive in Romoland (“property”). On May 12, 2025, IDEA Law Group recorded a Notice of Trustee’s Sale (“NOTS”) identifying it as the trustee and listing a sale date of June 11, 2025. Plaintiff alleged no Substitution of Trustee was ever recorded, granting power and authority for IDEA Law Group to act as

Substituted Trustee. In his complaint, Plaintiff alleged claims for negligence and rescission of the 2025 NOTS and requested a preliminary injunction.

On June 24, 2025, IDEA Law Group recorded a cancellation of the 2025 NOTS. At the June 30, 2025 hearing on Plaintiff's preliminary injunction, the Court determined the request was rendered moot due to the recording.

Plaintiff filed his First Amended Complaint on July 29, 2025. The Court sustained a demurrer thereto with leave to amend on October 30, 2025. Plaintiff filed the operative Second Amended Complaint ("SAC") on December 3, 2025 alleging four (4) causes of action: 1) fraudulent misrepresentation; 2) negligence; 3) cancellation of instrument; and 4) unfair business practices. He alleges the Defendants recorded a Substitution of Trustee on June 16, 2025, which is backdated on September 26, 2023. Plaintiff alleges Defendants knew they were filing a false document with intent to deceive him, the Court and the County Recorder's Office. He alleges he was never served with a copy of the SOT until after the preliminary injunction hearing and if he had, he would have advised the Court.

Defendants Newrez LLC dba Shellpoint Mortgage Servicing, erroneously sued as Shellpoint Mortgage Servicing, LLC and Bank of New York Mellon, as Trustee for Certificate Holders CWALT, Inc., Alternative Loan Trust 2006-6CB, Mortgage Pass-Through Certificates, Series 2006-6CB (collectively "Defendants") now demur to the SAC on the ground it fails to state any cause of action. (C.C.P., § 430.10(e).) They state Plaintiff failed to make payments as required and a Notice of Default ("NOD") was recorded on August 15, 2011. A Notice of Trustee Sale ("NOTS") was recorded on November 15, 2011. Additional NOTS were recorded in 2012, 2013, 2015, 2017, 2018, and finally in May 2025. The NOTS recorded in 2025 identified IDEA Law Group as the trustee, which had not yet recorded a Substitution of Trustee ("SOT") when the 2025 NOTS was recorded. IDEA Law Group recorded a cancellation of the 2025 NOTS on June 24, 2025. Defendants argue Plaintiff has not alleged fraud with the requisite specificity. Defendants argue they owe no duty of care to Plaintiff and did not record the NOTS. They state the cancellation claim is now moot, and does not impact the SOT and NOD as alleged by Plaintiff. Defendants argue Plaintiff lacks standing to allege the unfair business practices claim. Defendants request the Court take judicial notice of several recorded documents. Plaintiff opposes and argues each of his causes of action are properly alleged. Defendants argue the opposition does nothing to clarify or explain the causes of action alleged. Defendants otherwise reassert the points presented in reply.

Demurrer Standard - A general demurrer lies where the pleading does not state facts sufficient to constitute a cause of action. (C.C.P., § 430.10(e).) In evaluating a demurrer, the court gives the pleading a reasonable interpretation by reading it as a whole and all of its parts in their context. (*Moore v. Regents of University of California* (1990) 51 Cal.3d 120, 125.) The court assumes the truth of all material facts which have been properly pleaded, of facts which may be inferred from those expressly pleaded, and of any material facts of which judicial notice has been requested and may be taken. (*Crowley v. Kattelman* (1994) 8 Cal.4th 666, 672.) However, a demurrer does not admit contentions, deductions or conclusions of fact or law. (*Daar v. Yellow Cab Company* (1967) 67 Cal.2d 695, 713.) Facts appearing in exhibits attached to the complaint will also be accepted as true and, if contrary allegations appear in the complaint, will be

given precedence. (*Del E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal.App.3d 593, 606.)

If the complaint fails to state a cause of action, the court must grant the plaintiff leave to amend if there is a reasonable possibility that the defect can be cured by amendment. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

Request for Judicial Notice - Defendants request the Court take for judicial notice of ten (10) exhibits that were recorded related to the property. The Court grants Defendants unopposed request for judicial notice. (Evid. Code § 452, subds. (d), (h).) The Court takes judicial notice only as to the existence, content, and authenticity of such documents; it does not take judicial notice of the truth of the factual matters asserted therein. (*Dominguez v. Bonta* (2022) 87 Cal.App.5th 389, 400.)

1st Cause of Action for Fraudulent Misrepresentation - Plaintiff must plead (1) a false representation of an important fact (2) upon which Plaintiffs relied, (3) made with the knowledge of its falsity, (4) with the intent to defraud, and (5) resulting in damages. (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 974.) Plaintiff must plead fraud with specificity. (*Wilhelm v. Pray, Price, Williams & Russell* (1986) 186 Cal.App.3d 1324, 1331.) Facts must be pled that show how, when, where, to whom, and by what means the representations were tendered. (*Stansfield v. Starkey* (1990) 220 Cal.App.3d. 59, 73.) Against a corporation, the fraud cause of action must allege specific names of the person(s) who made the misrepresentation, their authority to speak for the corporation, to whom they spoke to, what they said or wrote, and when it was said or written. (*Tarmann v. State Farm Mutual Auto Ins. Co.* (1991) 2 Cal.App.4th 153, 157.)

The SAC adds specificity by identifying Sofia Pacheco, Document Verification Specialist employed by Shellpoint, as the person who backdated the Substitution of Trustee, identifying the specific false statements (“Dated: September 26, 2023” and the accompanying notarization statement), and identifying the location (Riverside County Recorder’s Office) and date (June 16, 2025) of the recording. These additions address specificity. However, Plaintiff has still failed to allege justifiable reliance and causation. Plaintiff alleges he “initially believed the Substitution of Trustee was valid and recorded correctly on June 16, 2025, when he attended the Preliminary Injunction hearing on June 30, 2025,” and that this reliance “prevented him from pointing out the misrepresentations to the Court at the PI hearing.”

First, the SAC’s own timeline defeats the reliance theory. Plaintiff alleges he discovered the fraud after examining the Substitution of Trustee obtained from the Riverside County Recorder’s Office following the June 30, 2025 hearing. If Plaintiff discovered the backdating after the hearing, he could not have relied on the validity of the document during the hearing to his detriment. Second, Plaintiff’s alleged reliance did not cause any cognizable harm. The Preliminary Injunction was rendered moot because Defendants rescinded the Notice of Trustee’s Sale on June 24, 2025, which was before the June 30, 2025 hearing. Whether or not Plaintiff pointed out the backdating at the hearing, he would not have obtained a Preliminary Injunction because there was no longer an imminent foreclosure sale to enjoin. The rescission provided Plaintiff the same relief an injunction would have provided. Third, Plaintiff’s reliance theory is internally

inconsistent. He claims he relied on the Substitution of Trustee being valid by not pointing out its defects at the hearing, but if he believed the document was valid, there were no defects to point out.

Moreover, Plaintiff has failed to allege damages. Plaintiff alleges loss of a Preliminary Injunction, time, money, and emotional distress. The loss of a Preliminary Injunction is not a cognizable harm when the injunction was moot due to Defendants' voluntary rescission of the Notice of Trustee's Sale. Plaintiff filed this lawsuit on June 3, 2025, before the Substitution of Trustee was even recorded on June 16, 2025. Litigation costs incurred before the alleged misrepresentation occurred cannot be attributed to it.

2nd Cause of Action for Negligence - The necessary elements for negligence are: (1) the existence of a legal duty of care that the defendant owed to the plaintiff; (2) breach; (3) causation; and (4) damages. (*County of Santa Clara v. Atlantic Richfield Co.* (2006) 137 Cal.App.4th 292, 318.) As a general rule, a financial institution owes no duty of care to a borrower when the institution's involvement does not exceed the scope of its conventional role as a mere lender of money. (*Lueras v. BAC Home Loans Servicing, LP* (2013) 221 Cal.App.4th 49, 67.) The California Supreme Court confirmed that a lender owes no tort duty sounding in general negligence principles to process, review, and respond carefully to borrower applications. (*Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 948.)

Plaintiff still has not alleged any duty owed to him. The SAC adds statutory citations, Civil Code §§ 2924(d)(6), 2934(a), and 2924(c), and argues these statutes impose a tort duty of care. Plaintiff relies on *Temple Community Hospital v. Superior Court* (1999) 20 Cal.4th 464, 481 and *Elsner v. Uveges* (2004) 34 Cal.4th 915, 927-928 for the proposition that a duty can be imposed by statute. While a duty can be imposed by statute, this does not result in every statutory violation automatically creating a tort duty, the court must examine and weigh policy considerations. (*Temple, supra*, 20 Cal.4th at 481.) The nonjudicial foreclosure statutes (Civ. Code §§ 2924, 2934) are a comprehensive, self-contained scheme providing specific remedies (injunctive relief, cancellation) rather than general tort damages. The Legislature did not create a private right of action for damages in these statutes. Converting every procedural foreclosure violation into a negligence claim would undermine the statutory scheme and expand lender liability beyond the scope contemplated by *Lueras* and *Sheen*.

Even if a duty existed, no foreclosure sale occurred. Defendants rescinded the Notice of Trustee's Sale on June 24, 2025. Plaintiff's property was not taken, and Plaintiff did not lose possession or any property interest. Plaintiff's speculative damages ("in the event a wrongful foreclosure occurs against Plaintiff's home, Plaintiff will seek damages for no less than \$3.33 million dollars") are insufficient as a negligence claim requires actual harm.

3rd Cause of Action for Cancellation of Instrument - To prevail on a claim to cancel an instrument, a plaintiff must prove (1) the instrument is void or voidable due to, for example, fraud; and (2) there is a reasonable apprehension of serious injury including pecuniary loss or the prejudicial alteration of one's position." (*U.S. Bank National Assn. v. Naifeh* (2016) 1 Cal.App.5th 767, 778, citing *Turner v. Turner* (1959) 167 Cal.App.2d 636, 641.)

The SAC seeks cancellation of three categories of instruments: (a) the Notice of Trustee's Sale recorded May 12, 2025; (b) the Substitution of Trustee recorded June 16, 2025; and (c) the Notice of Default recorded December 10, 2014.

First, the Notice of Trustee's Sale (May 12, 2025) is moot as Defendants already cancelled this instrument on June 24, 2025. An instrument that no longer exists cannot create a reasonable apprehension of future harm.

Second, as to the Substitution of Trustee (June 16, 2025), it fails both elements. Plaintiff alleges the Substitution of Trustee is void because (a) it was recorded after the Notice of Trustee's Sale in violation of Civil Code § 2934(a), and (b) it was fraudulently backdated. Civil Code § 2934(a) renders the Notice of Trustee's Sale defective if recorded before a valid Substitution of Trustee and it does not render the subsequently-recorded Substitution of Trustee itself void or unenforceable. Once Defendants rescinded the Notice of Trustee's Sale on June 24, 2025, the timing violation was cured. Moreover, for the reasons discussed under the First Cause of Action, Plaintiff has not adequately pleaded fraud (specifically, justifiable reliance and causation). Without a viable fraud claim, Plaintiff cannot establish the Substitution of Trustee is voidable due to fraud. Moreover, the legal effect of the Substitution of Trustee does not depend on whether it was executed on September 26, 2023, or June 16, 2025, it is effective as of its recording date. Finally, Defendants rescinded the Notice of Trustee's Sale so there is no active foreclosure. The Substitution of Trustee by itself designates a trustee and it does not threaten foreclosure without an active Notice of Trustee's Sale. Any apprehension is speculative.

Finally, as to the Notice of Default (December 10, 2014) it is time-barred. The SAC was filed December 3, 2025 over eleven years later. A cause of action to cancel an instrument based on fraud must be brought within three years of discovery. (Code Civ. Proc., § 338, subd. (d).) The SAC does not allege facts establishing Plaintiff could not have discovered defects in the 2014 Notice of Default until recently. The claim appears time-barred on its face.

On the merits, Plaintiff alleges the Notice of Default is "stale" under Civil Code § 2924(c) due to six years of inactivity. However, § 2924(c) requires that a new Notice of Default be given before proceeding to sale, it does not provide that the old Notice of Default becomes void. The remedy for a "stale" Notice of Default is that the beneficiary cannot proceed to sale based on it; the remedy is not that the instrument itself is void for purposes of a cancellation action. The fact that trustee The Wolf Firm became defunct in 2021 and servicer Select Portfolio Servicing ceased servicing in 2018 does not void the Notice of Default. A change of trustee or servicer requires updating those parties before proceeding to sale, which Defendants addressed via the Substitution of Trustee. Element 2 also fails because there is no active foreclosure. I recommend the Court sustain the demurrer.

4th Cause of Action for Unfair Business Practices - Standing requires that Plaintiff establish (1) economic injury, a loss or deprivation of money or property sufficient to qualify as injury in fact, and (2) that economic injury was caused by the unfair business practice. (*Kwikset Corp. v. Superior Court* (2011) 51 Cal.4th 310, 322, 327; *Lueras, supra*, 221 Cal. App.4th at 33.) Plaintiff has not alleged any loss of property or money

based on Defendants' actions. (See *Jenkins v. JP Morgan Chase Bank, N.A.* (2013) 216 Cal.App.4th 497, 522-523.) Plaintiff lacks standing.

Even if he did have standing, Business and Professions Code § 17200 prohibits any unlawful, unfair, or fraudulent business act or practice. (*Cel-Tech Communications, Inc. v. Los Angeles Cellular Telephone Co.* (1999) 20 Cal.4th 163, 180; *Lueras, supra*, 221 Cal. App.4th at 33.) Plaintiff alleges three prongs. The unlawful prong is based on violations of Civil Code §§ 2924-2934, the same statutory violations underlying the negligence and cancellation claims. The unfair prong alleges Defendants forced Plaintiff to defend his property at a cost of time and money and deterred him from obtaining a Preliminary Injunction. The fraudulent prong alleges members of the public would be deceived by Defendants' conduct.

Plaintiff has not identified unlawful or unfair practices. Where a plaintiff cannot state a claim under the borrowed law, he cannot state a UCL claim under the unlawful prong based on those same violations. (*Ingels v. Westwood One Broadcasting Services, Inc.* (2005) 129 Cal.App.4th 1050, 1060.) The negligence and cancellation claims fail as analyzed above. Moreover, as stated above, fraud has not been shown as no foreclosure sale occurred. Defendants rescinded the Notice of Trustee's Sale on June 24, 2025.

Leave to Amend - The Court's prior ruling on the demurrer to the FAC was sustained with leave to amend since plaintiff had an opportunity to amend the complaint in response to the demurrer and the complaint had not shown on its face that it was incapable of amendment. (*City of Stockton v. Superior Court* (2007) 42 Cal.4th 730, 747.) However, that rationale no longer applies. This is not Plaintiff's first opportunity to amend. While the SAC cured some specificity defects [particularly the identification of Sofia Pacheco and the specific backdated statements in the fraud claim], it failed to cure the fundamental legal deficiencies across all four causes of action: unjustifiable reliance and causation (Fraud); no tort duty in the lender-borrower context (Negligence); instruments not void or voidable with no imminent harm (Cancellation); no economic injury caused by Defendants' conduct (UCL). These remaining deficiencies are legal in nature and no additional facts can cure them. No reasonable possibility exists to cure these defects by further amendment.

3.

CASE #	CASE NAME	HEARING NAME
CVME2512672	CORREA VS AMERICAN HONDA MOTOR	MOTION TO COMPEL ANSWER/RESPONSE TO PRODUCTION OF DOCUMENTS SET ONE BY LORENA CORREA

Tentative Ruling: Motion to Compel Denied as to RFPs 7, 10, 28- 29, and 41. Granted as to RFP nos. 16-23, 26-27, and 71-75. Defendant ordered to produce verified code-compliant responses without objection within 20 days of this order.

Plaintiff now moves to compel Defendant to provide further responses to RFP nos. 7, 10, 16-23, 26-29, 41, and 71-75, arguing that the RFPs properly seek documents related to Defendant's internal investigation and analysis of the defects in the Vehicle, as well as Defendant's warranty and vehicle repurchase policies and procedures; all of